



Rating
Buy

North America
United States

TMT
Software

Company
Microsoft

Reuters
MSFT.OO

Bloomberg
MSFT US

Exchange
NSM

Ticker
MSFT

Date
20 April 2026

Results

Price at 17 Apr 2026 (USD)	422.79
Price target	575.00
52-week range	542.07 - 356.77

F3Q Preview - Capacity Considerations

Microsoft is set to report F3Q earnings on Weds. April 29th, where we expect another solid quarter of mid-teens topline growth, with potential for 1-2pts of upside vs. guidance at +13% y/y @cc and operating income growth rising faster in the high-teens+. Beyond headline numbers, attention will likely center on Azure results/guidance and broader progress across AI initiatives. There is little doubt in our mind around underlying support for Azure to grow in excess of +37-38% y/y @cc guidance, both from the demand side given a dearth of AI capacity globally and the supply side as Microsoft's pace of cloud capacity additions accelerated over the past couple quarters. The question remains about capacity allocation, where mgmt. has expressed a relative preference toward first party apps, security features and internal R&D. We have no reason to believe this stance has changed over the past 90 days, and therefore find it hard to call for a bigger Azure beat than a point or so vs. what was again characterized as a capacity driven guide, or for F4Q to be guided above this quarter's range.

While Azure remains by far the biggest growth driver of the overall business (we est. >60% of incremental revenue added in FY26), we understand the need and desire to protect and grow the highly profitable applications franchise as well, especially in the context of mgmt.'s statements last quarter around optimizing LTV of the portfolio, in addition to making the R&D investments necessary to successfully navigate an AI paradigm shift. On the other hand, a strategy that appears to include foregoing some level of monetizable Azure demand in the here and now for longer-term upside and/or to seed the user base (e.g. M365 Copilot Chat, Microsoft Copilot App) is not without its risks. Indeed, commentary last quarter that Azure growth could have been north of 40% if all incremental GPUs added in F1H were allocated there (admittedly not realistic) in theory suggests capacity for \$2bn+ of ARR allocated elsewhere. And if [recent reports](#) around Microsoft's desire to enter the highly compute intensive frontier model race are to be believed, the company would appear to be pushing further down this path.

We don't disagree this may be the right long-term path for Microsoft, and have full confidence in the mgmt. team as world class technologists and operators, but understand that for the stock this puts onus on delivering tangible AI results ex-Azure. We believe the threat of competitive displacement or vibe coded alternatives to highly entrenched systems of record and productivity tools in the Enterprise is currently overhyped, but sentiment is hard to fight and only time will tell. We do see evidence of Microsoft steadily growing traction, including new disclosure last

[Valuation & Risks](#)

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quarter of 15m paid M365 Copilot seats, but it's difficult to see this materially boosting M365 Commercial Cloud growth that has been more or less unchanged (adj. for 1x rev rec) at +14% y/y @cc for the past three quarters vs. Azure growth that inflected higher.

To pursue and capitalize on its wide range of objectives around AI we expect the company to continue investing aggressively, but there is a limit to the amount of capacity they and their partners can deliver near-term, which we expect leads to CapEx growth rates slowing materially in FY27 and difficult allocation decisions remaining. The good news is that even as we wait for AI benefits to more fully accrue to higher layers of the stack, current Azure revenue adds should be enough to sustain double-digit topline growth through at least FY27, and when combined with immense operating leverage allows EBIT growth to compound at mid-teens plus. On this we maintain our Buy rating and \$575 target price, which implies 28x our current CY27E EPS and compares to the current Mag 7 median of ~27x.

F3Q Earnings Setup

F3Q revenue guidance of \$81.2bn at the midpoint implies a ~2.5pt sequential deceleration to ~13% y/y @cc on a 3pt tougher comp, with softening y/y trends expected across each segment, and most notably an outright -HSD y/y decline in MPC. Consistent with prior quarters, we anticipate overall results will come in a point or two better than guidance around +14-15% y/y @cc but think some slight topline deceleration is still probable:

- **Productivity & Business Process** guidance of ~+11% y/y @cc calls for a ~3pt sequential deceleration against a slightly easier comp and implies sub-seasonal +0.8% q/q growth vs a +4.1% 3yr avg, primarily tied to a step down in M365 Commercial Products to -LSD y/y @cc (from +LDD in F2Q) on the back of expectations for Office 2024 transactional purchasing to normalize as well as a much smaller downtick in growth rates for Dynamics and M365 Consumer. In foremost focus, M365 Commercial Cloud (~low-60s% of PBP mix) was guided roughly flat at +13-14% y/y @cc (vs. 14% in F2Q) on what we anticipate to be a consistent combination of +HSD ARPU growth and +MSD seat growth. This includes increasing Copilot contribution with mgmt. disclosing for the first time last quarter 15m paid seats, which depending on volume discount rates could imply up to a ~\$5bn run-rate. Relative to guidance, we continue to see the biggest swing factor as in-period/transactional purchasing within M365 Commercial given its harder-to-forecast nature.
- **Intelligent Cloud** revenue growth is guided to ease ~1.5pts sequentially to ~+26% y/y @cc, primarily on expectations for significantly sub-seasonal Server Products revenue following reported pull forward of transactional purchasing ahead of memory price increases and benefit from the launch of SQL Server 2025 in the prior quarter. We think strength might be more sustainable near-term vs. -LSD y/y guidance as demand for traditional servers continues to outpace supply with concerns around availability ahead persisting. Much more in focus, Azure revenue (~75% of IC mix) is guided to see stable growth of +37-38% y/y @cc vs. +38% in F2Q. We think this reflects some modest conservatism to accommodate the dynamic nature of capacity allocation, go-live dates and consumption ramps and think 38%-39% is probably a reasonable bogey here.

There is little doubt in our mind around underlying support for growth rates above this level, both on the demand side relative to a shortage of AI capacity and amid robust enterprise migrations, as well as on the supply side based on MSFT's pace of additions to active power (+1GW last quarter



alone) and revenue generating assets (gross server, networking & SW assets accelerated +16% q/q and likely >50% y/y in F2Q). The question remains about capacity allocation, where mgmt. has expressed a relative tilt toward first party apps, security features and internal R&D. We have little reason to believe this stance has changed over the past 90 days, and therefore find it hard to call for a bigger Azure beat vs. the capacity driven guide.

- **More Personal Compute** guidance of ~-8% y/y @cc implies a ~4.5pt seq. deceleration against a 7pt tougher comp. that we think ends up being too conservative. Windows OEM & Devices likely remains the main driver of outperformance where mgmt. is calling for -10% y/y growth on the assumption elevated inventory levels and benefit from W10 EOS normalizes. While the range of outcomes remains wider than usual, IDC/Gartner data suggests preliminary PC shipments grew 2.5%/4% y/y respectively in C1Q. Assuming mix of Windows Home vs Pro licenses in line with historically observed trends, this creates room for meaningful upside. Gaming revenues may benefit as Xbox Game Pass price increases that went into effect in F2Q continue to percolate through the subscriber base. Lastly, Search/Ads (ex-TAC) revenue growth is seen stabilizing in the +HSD y/y range as contributions from strategic 3P partnerships normalize and share gains in Edge and Bing persist on higher attach rates observed in association with W11 adoption.

Figure 1: We model F3Q Revenue / Non-GAAP EPS of \$81.2bn / \$4.06 vs. Street at \$81.3bn / \$4.05

F3Q26 Forecasts \$bn	DB est.	y/y	Street	y/y	Guidance Midpoint
Productivity & Business Process	\$34.3	14.6%	\$34.4	14.9%	\$34.4
Intelligent Cloud	\$34.3	28.0%	\$34.3	28.1%	\$34.3
More Personal Computing	\$12.6	-5.5%	\$12.6	-5.5%	\$12.6
Total Revenue	\$81.2	15.9%	\$81.3	16.1%	\$81.2
Gross Profit	\$54.5	13.1%	\$54.6	13.3%	\$54.5
Gross Margin	67.1%	-1.6pts	67.1%	-1.6pts	67.1%
Operating Income	\$36.6	14.5%	\$36.8	14.9%	\$36.6
Operating Margin	45.1%	-0.6pts	45.2%	-0.5pts	45.1%
Non-GAAP Net Income	\$30.2	17.1%	\$30.2	17.0%	
Non-GAAP EPS	\$4.06	17.2%	\$4.05	17.0%	

Source : Company Reports, DB Estimates, Bloomberg Finance LP

Figure 2: With a touch below-seasonal F3Q revenue

Segment	F3Q26E \$mn	q/q % chg	3-yr avg Seasonality	Δ vs. 3yr avg
Productivity & Business Process	\$34,309	0.6%	4.1%	-3.6pts
Intelligent Cloud	\$34,250	4.1%	3.1%	1.0pts
More Personal Computing	\$12,629	-11.4%	-11.7%	0.4pts
Total Revenue	\$81,189	-0.1%	0.2%	-0.3pts

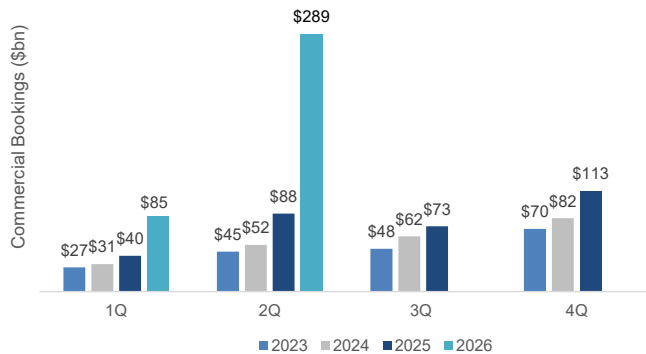
Source : Company Reports, DB Estimates, Bloomberg Finance LP

- **Profitability** remains a balance of working to offset guided gross margin contraction of -1.7pts y/y to 67% on drag from AI investments with OpEx efficiencies. OpEx growth is anticipated to rise +10.5% y/y (from +5% y/y in F2Q); although well above normal seasonality at (+5% q/q vs. ~flat 3yr avg), this still trails guided revenue growth of +16% y/y by a decent margin on a y/y basis, resulting in guidance for a more modest -0.6pt y/y downtick in operating margin to ~45.1%. We appreciate there is an increased focus on R&D investment, including greater AI capacity allocation, but struggle to see OpEx growing at this rate. The company has always been very diligent managing to the operating margin line, highlighted by op margin expansion over the past two years despite near-term upfront drag from massive investment in scaling AI infrastructure.
- **Commercial Bookings** was guided to "healthy growth" in the core business on a growing expiry base when adjusted for OpenAI contracts in the prior year, driven by strong renewal rates in the core annuity sales motion. Our checks have also suggested potential tailwinds from pull forward due to: (1) a reported Microsoft-specific policy shift that will require



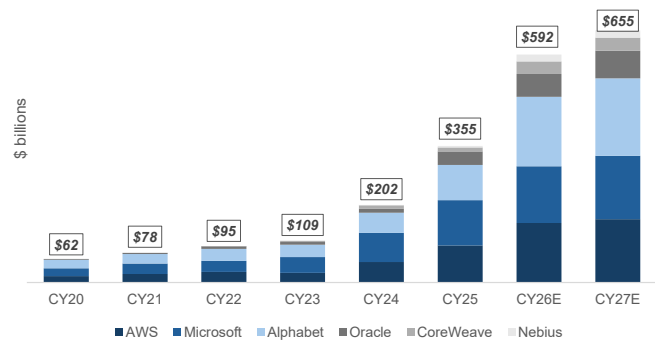
annual consumption thresholds within multiyear deals; and (2) ISVs/Digital natives looking to ensure adequate capacity to support rising inference intensity. As a result, we think overall Bookings growth could comfortably reach into +DD y/y (and 20%+ on an ex-OAI basis). Indeed, we believe Azure demand remains very robust, but do wonder how much of a governor on booking growth capacity constraints may be medium-term.

Figure 3: Record F2Q Commercial Bookings



Source : Company Reports, DB Estimates

Figure 4: Cloud Infra CapEx across vendors expected to keep climbing through CY27



Source : Company Reports, DB Estimates, Bloomberg Finance LP

- **Capital expenditures** (incl. leases) are expected to be down sequentially from \$37.5bn in F2Q. Street estimates currently call for ~\$35bn of CapEx in the quarter, roughly in line with our estimate of \$34.5bn. Taking into account guidance for FY26 CapEx growth overall to be higher than that of last year then implies >\$30bn in CapEx for 4Q as well. From a mix perspective, short-lived assets are anticipated to remain similar to last quarter's ~2/3rd weighting, helping sustain elevated Azure growth rates through year-end. In our view, it's encouraging to see this growth in the near-term monetizable asset base after several years of heavy investment in longer-lived assets to catch the unexpected surge in AI driven demand. We will also be listening for any commentary on memory pricing impacting CapEx, which we think could start to show up some in F4Q and likely more so in FY27. It's unclear what early commentary they might give on FY27 CapEx; our base case is that it continues to grow y/y to support customer demand and internal usage but at a meaningfully lower rate than this year's ~60%.

F4Q Outlook

Shifting to F4Q26, we are currently modeling revenue of \$88.0bn, essentially in line with consensus calling for topline acceleration to +14% y/y @cc vs. F3Q guidance of +13%. Specifically, we see potential for constant currency growth to tick higher in Intelligent Cloud and for the pace of y/y declines in MPC to ease. Going segment-by-segment our expectations include:

- **Productivity & Business Process** revenue growth guidance to be in the low double digits, led by M365 Commercial Cloud, where we expect sustained low-to-mid teens % @cc growth guidance against a 1pt tougher comp. Copilot monetization should remain an increasingly key ARPU driver alongside E5 adoption; recall last quarter mgmt. cited record M365 Copilot seat adds (+160% y/y, accelerating q/q) and a 10x y/y increase in DAUs, supporting confidence in the underlying momentum. New disclosure of



15m paid seats suggests adoption is still quite early at only ~1% of the M365 user base (we est. closer to HSD% of E3/E5 + Biz Standard/Premium users that we believe represent more of the target audience), but already a sizable business and with multiples more using Copilot chat that serves as a natural sales funnel. This compares to E5 adoption that was reported at 8% in F4Q21, ~6.5 years post GA, and overall likely remains a priority given continued internal cloud capacity allocation.

Here, we also note [recently announced general availability of Agent 365 and a new E7 SKU starting May 1](#) which could potentially provide incremental ARPU tailwinds, though this likely takes some time to develop. We find it interesting to see Microsoft leaning further into the bundled, seat based model here vs. some others in the biz apps space moving incrementally more toward consumption. To its credit, this has proven a successful selling motion for the company historically, provides greater revenue visibility, and potentially provides opportunity to drive margins higher over time with engineering efficiencies.

M365 Commercial Products is likely guided flat-to-LSD% decline against a prior year comp with elevated transactional activity, while M365 Consumer should grow low-teens having fully lapped [last year's price increases](#) as of F3Q. Beyond M365, we expect Dynamics to remain in the low-to-mid DD % growth y/y @cc on solid execution against a tough compare and LinkedIn to remain steady in the LDD% range similar to F3Q. Outside the numbers, we note several organizational and strategic changes made during F3Q worth paying attention to, including a now unified Copilot organization spanning commercial and consumer and a newly reorganized Copilot leadership team.



Figure 5: M365 E7 Suite Feature Comparison

Microsoft 365 E7: The Frontier Suite

	 Microsoft 365 E5 (w/Teams) \$60 ¹	 Microsoft Entra Suite \$12	 Microsoft 365 Copilot \$30	 Microsoft Agent 365 \$15	 Microsoft 365 E7 (w/Teams) \$99 ²
Productivity	Microsoft 365 apps: Create and refine work across the apps people know and love	•			•
	OneDrive & SharePoint: Share, manage, and collaborate on content across teams	•			•
	Teams: Meet, chat, and call	•			•
	Windows: Secure, manage, and run work across enterprise devices	•			•
	Teams Phone: Cloud-based phone system built into Teams	•			•
	Power BI Pro: Turn data into shared, actionable insights	•			•
Security & Compliance	Entra: Identity and access management	• P2	• Suite		• Suite
	Defender: Endpoint, email, identity, and cloud threat protection	•			•
	Purview: Data security and compliance (ex. information protection, DLP, insider risk)	•			•
	Intune: Endpoint and device management	•			•
AI	Copilot: AI built into core productivity apps and Teams	○		•	•
	Copilot Studio & Agent Builder: Build, deploy, and scale custom AI agents	○ Metered		•	•
	Agent flexibility: Choose from pre-built agent library or access 3P marketplace			•	•
	Work IQ: AI grounded in personal and work data (incl. 3P data via connectors)	○		•	•
Agent Management	Agent 365: Observe, monitor and manage agents in real time			•	•
	Agent 365: Govern agents throughout their lifecycle			•	•
	Agent 365: Secure and protect all agents across your enterprise			•	•

1: \$51.45 w/o Teams / 2: \$90.45 w/o Teams

Source : Company Data



Figure 6: Announced updated prices and % increase by SKU as of July 1, 2026

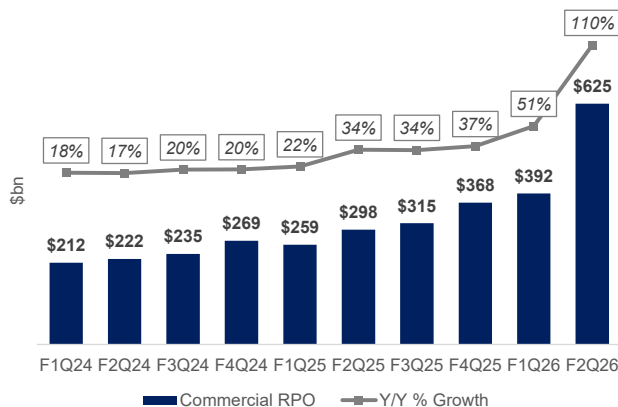
SKU	Current List Price	List Price as of July 1, 2026	% Increase
Business Suite			
Business Basic	\$6.00	\$7.00	16.7%
Business Standard	\$12.50	\$14.00	12.0%
Business Premium	\$22.00	\$22.00	0.0%
Office Suite			
Office 365 E1	\$10.00	\$10.00	0.0%
Office 365 E3	\$23.00	\$26.00	13.0%
Enterprise Suite			
Microsoft 365 E3	\$36.00	\$39.00	8.3%
Microsoft 365 E5	\$57.00	\$60.00	5.3%
Microsoft 365 F1	\$2.25	\$3.00	33.3%
Microsoft 365 F3	\$8.00	\$10.00	25.0%

Source : Company Reports

- **Intelligent Cloud** growth to remain resilient with Azure guidance near the F3Q range of +37-38% y/y @cc and consensus of +37% despite a 4pt tougher comp. Assuming F3Q comes in at the high end of the guidance range, we calculate this would imply record sequential net adds of ~\$2.8bn, up mid-30% y/y @cc vs. the prior record in F4Q25. Reasons for optimism here are multifold in our view: **(1)** Commercial cRPO accelerating to +39% y/y last quarter (from high-20s), against which we are confident cloud capacity is being reserved for; **(2)** Guidance for F3Q CapEx to remain similarly weighted toward shorter-lived assets as last quarter (~2/3rds) that we see sustaining gross server, networking & SW assets growth >50% y/y and providing supply-side support to Azure; **(3)** recent checks pointing to sustained tailwinds from enterprise migrations and commit growth; and **(4)** favorable AI trends that include an uptick in short-term GPU rental prices for legacy SKUs, the recent addition of Anthropic models to Foundry and ramp of the new Fairwater Wisconsin that is reportedly ahead of schedule. That said, we acknowledge the potential risks related to conflict in the Middle East and increasing capacity allocations to M365 and internal R&D, with press reports that Microsoft may be looking to enter the frontier model race.

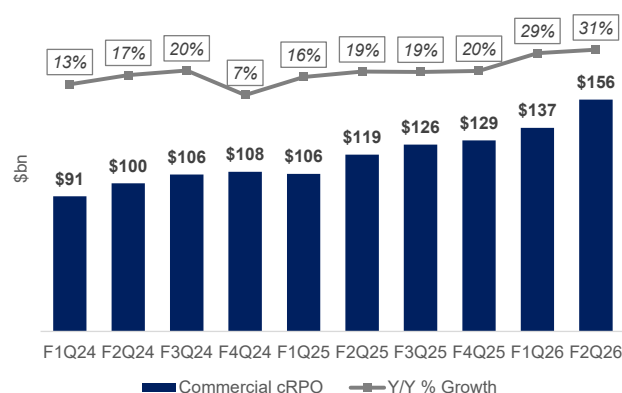


Figure 7: Rapidly growing Commercial RPO stands at \$625bn as of F2Q26



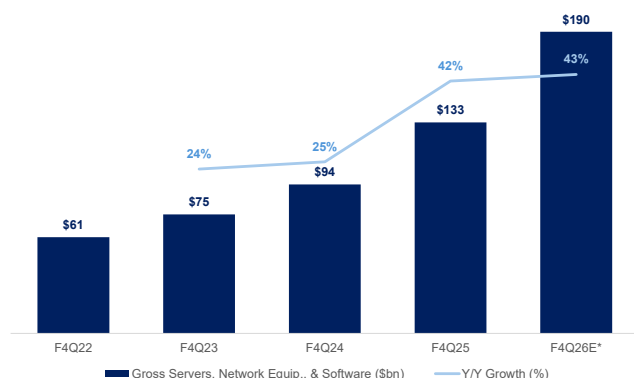
Source : Company Reports

Figure 8: Commercial cRPO stands at ~25% mix and continues growing strongly



Source : Company Reports, DB Estimates

Figure 9: Gross Servers, Networking Equip., and SW Assets accelerated in FY25 to service Azure demand



Source : Company Reports, DB Estimates; *F4Q26E DBe based on mgmt. guidance for greater short term CapEx mix in FY26

- **More Personal Computing** is likely guided -LSD% for F4Q, with Windows OEM remaining the primary swing factor. The PC market outlook remains volatile amid supply chain constraints, rising component costs (notably memory), and incremental freight pressure from geopolitical conflicts, while OEMs continue to highlight a sizable refresh opportunity, with HP noting ~40% of its commercial installed base remains on W10. On Devices, Bloomberg [reports](#) Surface price increases taking effect in F4Q. Against this backdrop, a LDD% decline guide for Windows & Devices appears reasonable and consistent with F3Q. Within Gaming, we see Xbox Content and Services guided to a LSD-MSD% decline against a tougher comp. Recent [reporting](#) by The Verge suggests debate around Game Pass pricing and we also note the intra quarter CEO transition with Asha Sharma assuming the role as Phil Spencer steps away. Finally, we expect continued product innovation, including the latest wave of MAI models, to support Search & Ads momentum roughly in line with F3Q as 3P partnership benefits normalize.

For profitability, we model continued gross margin contraction in F4Q (-1.5pts y/y to 67.1%) with AI mix and timing related headwinds only partly offset by improvements on the core platform that should accrue to like-for-like margins



across the entire portfolio of cloud delivered services. Continued OpEx discipline should set the stage for more stable operating margins though, which we conservatively model -0.4pts y/y to 44.6%.

Figure 10: We model F4Q revenue / Non-GAAP EPS of \$88.0bn / \$4.27 vs. Street at \$88.0bn / \$4.25

F4Q26 Forecasts	DB		Street	
\$bn	est.	y/y		y/y
Productivity & Business Process	\$37.0	11.7%	\$36.9	11.4%
Intelligent Cloud	\$38.1	27.5%	\$37.6	26.0%
More Personal Computing	\$13.0	-3.5%	\$13.3	-1.1%
Total Revenue	\$88.0	15.2%	\$88.0	15.1%
Gross Profit	\$59.1	12.7%	\$59.0	12.5%
Gross Margin	67.1%	-1.5pts	67.1%	-1.5pts
Operating Income	\$39.2	14.3%	\$39.2	14.3%
Operating Margin	44.6%	-0.4pts	44.6%	-0.3pts
Non-GAAP Net Income	\$31.8	16.7%	\$31.8	16.7%
EPS	\$4.27	17.0%	\$4.25	16.4%

Source : Company Reports, DB Estimates, Bloomberg Finance LP

Figure 11: With a touch above seasonal F4Q revenue

Segment	F4Q26E \$mn	q/q % chg	3-yr avg Seasonality	Δ vs. 3yr avg
Productivity & Business Process	\$36,970	7.8%	7.6%	0.1pts
Intelligent Cloud	\$38,084	11.2%	9.4%	1.8pts
More Personal Computing	\$12,980	2.8%	-0.4%	3.1pts
Total Revenue	\$88,034	8.4%	6.7%	1.8pts

Source : Company Reports, DB Estimates, Bloomberg Finance LP

FX Trends

The USD index was directionally higher on average from when the company reported earnings in late-January and guided FX to be a ~3pt y/y tailwind to revenue in F3Q. That said, it did exit F2Q ~1.7% above the prior quarter end and ~3.6% above the day of F2Q earnings, and based on current spot rates we estimate the y/y FX benefit to revenue would be closer to ~+2.5% in F3Q26 and in line with guide of <1.0% in F4Q.



Figure 12: Latest disclosure on AI product adoption

Segment	Product	Disclosure Date	Disclosure
Productivity and Business Processes	M365 Copilot	F2Q26	- 15m paid seats. Seat adds +160% y/y
		F2Q26	- # of customers with 35k+ seats +3x y/y
		F2Q26	- M365 Copilot DAU +10x y/y
	D365 Copilot	F1Q25	- >2m active users
Intelligent Cloud	Azure AI Foundry	F2Q26	- +80% y/y # of cust. spending >1m quarterly
		F2Q26	- >250 cust. on track to process 1T tokens in FY26
	GitHub Copilot	F2Q26	- 4.7m paid seats, +75% y/y
	DAX Copilot	F2Q26	- Helping >100k medical providers
		F2Q26	- Helped 21m patient encounters in F2Q, +3x y/y
	Phi models	F1Q26	- >60m downloads
More Personal Computing	Copilot Consumer App	F2Q26	- +3x y/y daily users
Cross Segment	Overall AI Business	F2Q25	- >13bn AI ARR
		F1Q26	- 900m AI features MAU
		F1Q26	- >150m MAU across 1P family of Copilots

Source : Company Reports



Figure 13: Estimates Summary

Microsoft (MSFT)

In \$mn except EPS

	3Q26E				4Q26E			FY26E		
	DBe	Cons.	DBe vs. Cons.	Company guidance	DBe	Cons.	DBe vs. Cons.	DBe	Cons.	DBe vs. Cons.
Income Statement										
Productivity & Business Process	34,309	34,403	-0.3%	34,250 - 34,550	36,970	36,894	+0.2%	138,415	138,502	-0.1%
Y/Y Growth	+14.6%	+14.9%			+11.7%	+11.4%		+14.6%	+14.6%	
Intelligent Cloud	34,250	34,255	-0.0%	34,100 - 34,400	38,084	37,639	+1.2%	136,139	135,697	+0.3%
Y/Y Growth	+28.0%	+28.1%			+27.5%	+26.0%		+28.1%	+27.7%	
More Personal Computing	12,629	12,633	-0.0%	12,300 - 12,800	12,980	13,302	-2.4%	53,615	53,921	-0.6%
Y/Y Growth	-5.5%	-5.5%			-3.5%	-1.1%		-1.9%	-1.3%	
Total Revenue	81,189	81,339	-0.2%	80,650 - 81,750	88,034	87,978	+0.1%	328,169	328,165	+0.0%
Y/Y Growth	+15.9%	+16.1%			+15.2%	+15.1%		+16.5%	+16.5%	
Gross Profit	54,478	54,572	-0.2%	53,800 - 55,100	59,071	59,000	+0.1%	222,474	222,312	+0.1%
GM (%)	67.1%	67.1%			67.1%	67.1%		67.8%	67.7%	
Operating Income	36,632	36,774	-0.4%	35,900 - 37,300	39,219	39,245	-0.1%	152,088	152,075	+0.0%
OM (%)	45.1%	45.2%			44.6%	44.6%		46.3%	46.3%	
Y/Y Growth	+14.5%	+14.9%			+14.3%	+14.3%		+18.3%	18.3%	
Non-GAAP Net Income	30,239	30,205	+0.1%		31,768	31,768	-0.0%	123,715	126,859	-2.5%
Net margin (%)	37.2%	37.1%			36.1%	36.1%		37.7%	38.7%	
Non-GAAP EPS	\$4.06	\$4.05	+0.2%		\$4.27	\$4.25	+0.5%	\$16.60	\$16.85	-1.5%
Operating Metrics										
Operating Cash Flow	42,877	41,653	+2.9%		48,655	50,538	-3.7%	172,346	171,059	+0.8%
Y/Y Growth	+15.7%	+12.4%			+14.1%	+18.5%		+26.6%	25.6%	
Levered Free Cash Flow	18,520				22,244			72,310		

Source : Company Data, DB Estimates, Bloomberg Finance LP



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
Microsoft	MSFT.OQ	422.79 (USD) 17 Apr 2026	7, 8, 14, 15, 21, 24, 26

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

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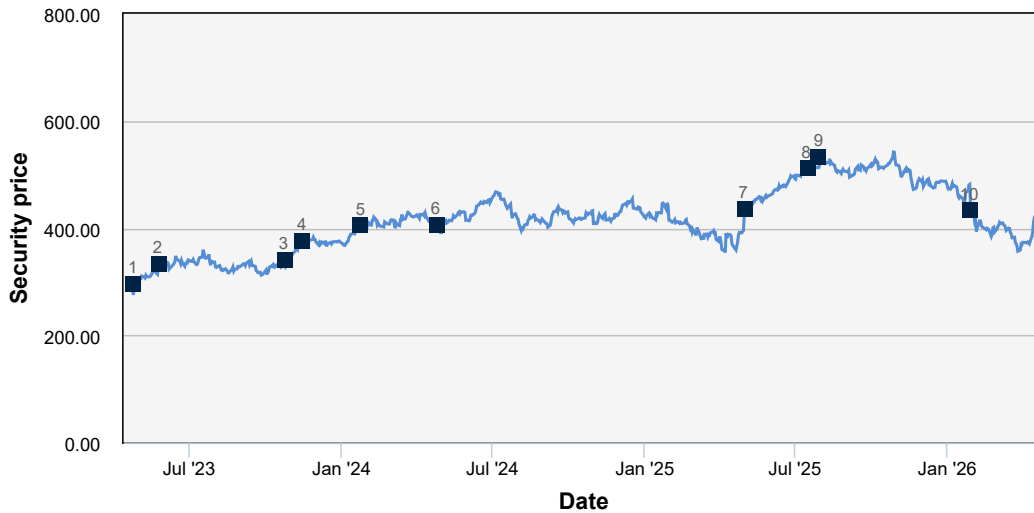
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Historical recommendations and target price: Microsoft (MSFT.OQ)

(as of 04/17/2026)



Current Recommendations

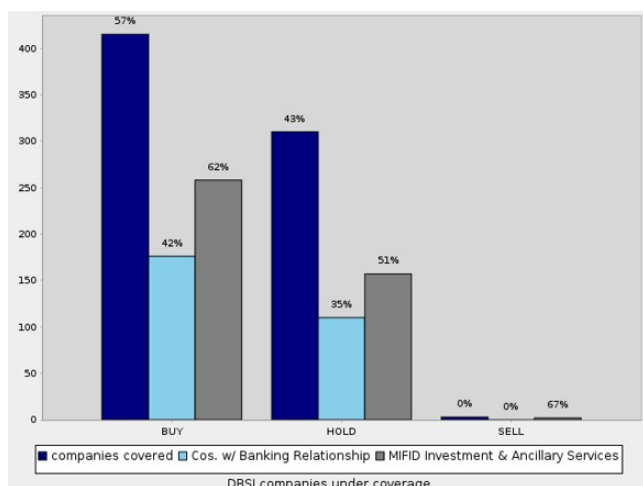
Buy
Hold
Sell
Not Rated
Suspended Rating

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1.	04/26/2023	Buy, Target Price Change USD 340.00, Current Price USD 295.37 Brad Zelnick	6.	04/26/2024	Buy, Target Price Change USD 475.00, Current Price USD 406.32 Brad Zelnick
2.	05/26/2023	Buy, Target Price Change USD 380.00, Current Price USD 332.89 Brad Zelnick	7.	05/02/2025	Buy, Target Price Change USD 500.00, Current Price USD 435.28 Brad Zelnick
3.	10/25/2023	Buy, Target Price Change USD 395.00, Current Price USD 340.67 Brad Zelnick	8.	07/17/2025	Buy, Target Price Change USD 550.00, Current Price USD 511.70 Brad Zelnick
4.	11/16/2023	Buy, Target Price Change USD 415.00, Current Price USD 376.17 Brad Zelnick	9.	07/31/2025	Buy, Target Price Change USD 630.00, Current Price USD 533.50 Brad Zelnick
5.	01/25/2024	Buy, Target Price Change USD 450.00, Current Price USD 404.87 Brad Zelnick	10.	01/29/2026	Buy, Target Price Change USD 575.00, Current Price USD 433.50 Brad Zelnick



Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

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TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

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